an eight-year high of 7.79 per cent in April, while retail food inflation surged to 8.38 per cent. On May 4, the RBI raised the benchmark lending rate by 40 basis points (bps) to mop up Rs 87,000 crore of liquidity.

A day before the ban, wheat prices in the Delhi market stood at around Rs 2,340 per quintal, while the export price ranged from Rs 2,575-2,610/ quintal. The government-assured price declared before the start of the season was Rs 2,015 per quintal. Wholesale wheat flour prices, too, have risen, to Rs 32-33/ kg, from Rs 27/ kg in March.

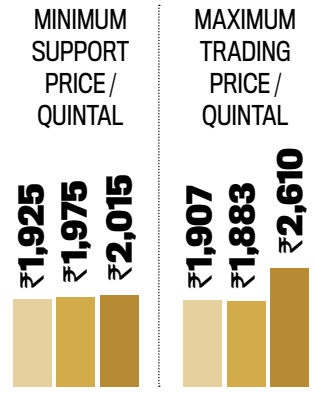
The other reason is low wheat production. Against the expected production of 111 MT, the heat wave damaged 15-20 per cent of the crop in many wheat-growing states, bringing the country's cumulative production down to 98 MT. In Punjab, only 9 MT wheat had been procured against a targeted 13 MT this season. Lower yields and higher prices in the global market (which aids exports) squeezed the quantity of grains flowing into the government's buffer stock. The food ministry is unable to procure 44.4 MT of wheat for its buffer stock. India started the fiscal with 19.5 MT of stock, and bought another 18 MT, a 15-year low in wheat procurement. It is also leading to hoarding and higher wheat prices in the domestic market.

If we discount the 7.5 MT of grains required for reserves, India had about 30 MT to give states to fulfil their beneficiary commitments. India needs 26 MT of wheat annually to distribute under its various schemes. But with just the Pradhan Mantri Garib Kalyan Anna Yojana, the Covid relief free food scheme, extended till September, it will require an additional 10 MT of wheat.

Farmers have been unwilling to sell their produce to government agencies, preferring to sell to private traders instead or hoarding in anticipation of higher prices. This is ironic since the country saw protests from farmer unions last year seeking a repeal of the farm sector reforms since they feared the laws would end assured procurement at government-determined prices. The shortfall has been glaring. Economists like Gulati have argued that the government should have offered farmers a bonus on MSP to shore up buffer stocks.

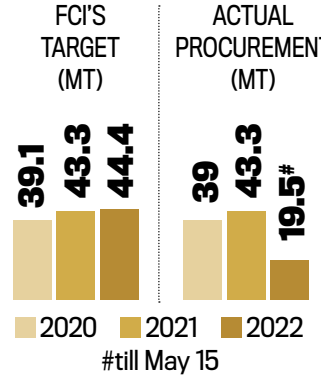
NORTHWARD BOUND

Low prices in the domestic market prompted wheat producers to export more



BUFFER BLIP

Low yield and high exports led India to slip on its wheat procurement target



HEAT STRUCK

Demand for wheat has surged this year because of extreme weather conditions such as droughts, flooding and heat waves in the US, Europe and China, in addition to India. The war in Ukraine has only compounded the crisis. The crop in these countries has been damaged. Ukraine contributed 12 per cent to global wheat supplies. Currently, 20 MT of wheat grains is estimated to be squatting in Ukrainian silos.

A day before the ban, India had announced the trade delegation to Tunisia, Morocco, Indonesia along with six other countries to explore the possibilities of boosting wheat exports from India. In mid-February, the agriculture ministry had estimated India's 2021-22 wheat crop at a record 111.32 MT. Thereafter, the wheat-growing states in north India witnessed a heat wave and the onset of an early summer, which damaged the standing wheat crop. Except Madhya Pradesh, where the harvest starts mid-March, the other states, which saw temperatures rise to 40°C by April-end, had premature ripening and shrivelling of grain. Agriculture secretary Manoj Ahuja, though, on May 14 maintained that the yield losses are not that high and added that the ministry's estimates of production are 105-106 MT. Officials in his own ministry view this projection as too optimistic and peg realistic estimates at around 98 MT.

A report by financial services firm Nomura says the government's move to ban wheat exports may prove to be counterproductive. "This export ban is a pre-emptive step and may prevent local wheat prices from rising substantially," it said in a research note. "However, with domestic wheat production likely limited by the heat wave, local wheat prices may not moderate materially. If India's wheat ban leads to higher price of substitutes like rice, then there could be upward pressure on other food prices." Food secretary Sudhanshu Pandey expects the ban on wheat export to cool down the domestic prices in a week's time. Officials believe the export ban will fetch 5 MT of grains—already held by traders—into the buffer stock at the minimum support price (MSP).

The ban has put wheat producers in a quandary, while its benefits remain unclear. Their only hope is that it is temporary and will be lifted once concerns over food security ease. ■